



Internal Governance and Sustainability in Waste Management: Insights From Eco-Higjiena in Kosovo



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Abstract: This study explored the perceptions of Eco-Higjiena's management regarding governance and sustainability developments occurring during the company's operation from 2015 to 2025. While public-private partnerships (PPPs) are often promoted and recognized as innovative mechanisms to improve and advance municipal services for citizens, little is known about how organizational leaders perceive governance practices and sustainability outcomes in transition contexts. This study investigated the perspectives of Eco-Higjiena's management staff on their internal governance structures, so as to assess their sustainability achievements and identify ongoing challenges and opportunities for reform in the waste management sector. The study adopted a mixed-methods single-case design, combining descriptive analysis of closed-ended survey responses with thematic analysis of open-ended responses from Eco-Higjiena's board, management and administrative staff. Descriptive statistics helped encapsulate governance assessments with a revelation of mixed results, while coding offered deeper insights into their sustainability performance. While imposing challenges remain in accountability, recycling, transparency, and hazardous waste management, significant improvement has been noted in service delivery, modernization of infrastructure, and community well-being. The study emphasized that PPPs could help in developing economies and strengthen municipal services. Their long-term effectiveness, however, depends on institutional reforms and policies that improve financial sustainability, governance, and accountability. This empirical research provides valuable insights via examining the insiders' perspectives of PPP management and leadership. It offers practical lessons for policymakers and practitioners by demonstrating particular relevance to the discourse on the inter-relationship between governance and sustainability, with the objectives of achieving Sustainable Development Goals (SDGs) 11 (Sustainable Cities and Communities) and 12 (Responsible Consumption and Production).

Keywords: Public-private partnerships; Governance; Waste management; Sustainability; Kosovo; Eco-Higjiena

1. Introduction

Achieving sustainable cities and communities depends on systematic operational frameworks that integrate public health, governance, and environmental protections within well-defined structural building blocks (Sachs et al., 2019). Waste management is a critical focus within United Nations (UN) Sustainable Development Goals (SDGs) 11 and 12, aimed at promoting responsible consumption and sustainable urban development (Leal Filho et al., 2021). Globally, these challenges reflect systemic deficiencies commonly found across developing regions where rapid urbanization outpaces municipal capacity (Ferronato & Torretta, 2019). Public-private partnerships (PPPs) are an innovative government mechanism for handling environmental issues, especially those of waste management. One of these companies is Eco-Higjiena, founded in 2015 in Gjilan and known as Kosovo's first

PPP in the waste sector, which has combined municipal oversight and private investment (Casady & Peci, 2021; Mazreku & Moser, 2015).

While previous research explored citizens' opinions on waste management policies at the municipal level, this study investigated another major component in this context, i.e., the perceptions and opinions of responsible people. How do company leaders, including those at Eco-Higjiena, perceive governance, accountability, and sustainability in practice? This study specifically focused on the internal operation of Eco-Higjiena for over a decade, to provide a unique perspective on waste management in countries that are transitioning to more sustainable practices.

1.1 Research Gap and Objectives

The effectiveness, sustainability, and dynamics of PPPs in waste management are largely unknown in the Western Balkans. In particular, there is little empirical evidence on how managers and board members perceive their roles in advancing sustainability goals in fragile institutional settings. The primary goal of this research is to deal with these issues directly, using the company Eco-Higjiena in Kosovo as a case study.

1.2 Research Questions

This study raises the following research questions when addressing this gap:

Q1: How do the management and board of Eco-Higjiena perceive the governance structures and practices of PPP?

Q2: How do respondents perceive the main sustainability achievements that occurred during Eco-Higjiena's operation from 2015 to 2025?

Q3: What recommendations and lessons can be drawn from past and current experiences to improve the governance and sustainability of PPPs in the waste management sector?

By investigating and answering the above research questions, this study provided empirical data and evidence for a little-studied context: the sustainability of PPPs in Kosovo and the related governance dimensions, in order to contribute to the global agenda of advancing SDGs 11 and 12.

2. Literature Review

The effectiveness of urban waste management is dictated by institutions, policies, and socioeconomic contexts, hence greatly influencing governance outcomes. PPPs are often viewed as mechanisms to increase accountability, efficiency, and innovation by combining public oversight with private operational capacity. When properly executed, these hybrid arrangements can significantly improve collection efficiency and service quality (Oduro-Appiah et al., 2017). Empirical evidence regarding their success remains deeply polarized, particularly within post-conflict and transition economies. Scholars have noted that while the structural intent of PPPs is promising, their localized execution frequently falls short due to underlying structural deficiencies (Ngullie et al., 2021).

This section critically synthesizes the literature and divides it into four thematic and theoretical debates that intertwine: (i) PPPs and the institutional and stakeholder dynamics in their governance; (ii) the tension among transparency, performance, and accountability; (iii) the transition to a circular economy in urban waste management and its structural barriers; and (iv) the contextual friction of deploying these global frameworks within economies in transition, especially Kosovo.

2.1 Stakeholder and Institutional Tensions

The performance of a PPP firm cannot be separated from its broader institutional ecosystem. Organizational success depends heavily on the fit between localized informal practices and formal regulations, as viewed through the lens of institutional theory. While the standard literature assumes that regulatory frameworks could be transplanted seamlessly across borders, institutional theorists argued that political instability, weak state capacity, and informal norms often disrupted these models (Casady & Peci, 2021; Roehrich et al., 2014).

When considered together with stakeholder theory, the division creates a profound tension. This theory stated that the survival and sustainability of a PPP firm relied on balancing the competing interests of diverse groups. Governance mechanisms act as a bridge to connect private investors, public authorities, citizens, and informal workers in a functioning PPP for waste management (Wilson et al., 2006).

Public and private actors often operate with conflicting priorities in fragile institutional environments, such as maximizing private financial returns versus ensuring public affordability, which ultimately paralyzes service delivery and blurs lines of accountability (Hodge & Greve, 2007; Yescombe & Farquharson, 2018). Furthermore, the critical task of managing relational risk and allocating responsibilities optimally remains a core barrier to long-term operational success (Ke et al., 2010).

2.2 Accountability, Governance, and Performance

Current studies were broadly divided into two types of PPP outcomes, namely optimistic efficiency narratives and critiques of governance. Systematic monitoring, strong contract design, and strict disclosure mandates help ensure public accountability and high-quality service delivery, as argued in the efficiency paradigm (Yescombe & Farquharson, 2018). However, the effectiveness of private-sector participation may be constrained by localized operational conditions and institutional limitations. Evidence from municipal solid waste management indicates that the performance of PPP arrangements depends not only on private-sector involvement but also on the quality of institutional coordination, regulatory oversight, and local implementation capacity (Spoann et al., 2019). This is particularly important in waste-management projects, which may generate substantial social and environmental benefits despite relatively low commercial returns, thereby requiring appropriate public-private risk-sharing and institutional support (Filimonova et al., 2023). Institutional weaknesses in developing and transition economies regularly overturn idealized frameworks, as contended by skeptical scholars. Serious accountability gaps and devaluation of money are generated by ineffective state regulation (Roehrich et al., 2014). PPPs in fragile environments are often hampered by political instability, informal administrative practices, and weak implementation, rather than functioning as transparent and merit-based structures (Casady & Peci, 2021). The Organisation for Economic Co-operation and Development (OECD) administrative frameworks designed for stable markets could not be easily transferred to volatile socio-political climates as a result of this phenomenon.

2.3 Urban Waste and Circular Economy Dynamics

Operationalizing the SDGs requires deep, structural transformations across governance and industry specifically prioritizing modular building blocks such as sustainable cities, resource efficiency, and circular economy pathways to systematically align local actions with global sustainability targets (Sachs et al., 2019). Monitoring tools enable decision-makers to measure circular economy performance and identify circularity's advantages and disadvantages (Voukkali et al., 2023).

A combination of municipal governance policies and collaborative market-based arrangements is essential to drive effective waste management. State-enabled mechanisms like PPPs, combined with active grassroots inclusion and structured stakeholder coordination, serve as critical drivers for overcoming local institutional constraints and improving urban waste systems (Afful et al., 2024).

According to stakeholders' perspectives, true circularity necessitates the inclusion of informal recycling actors in the formal urban waste management system to facilitate socioeconomic inclusion. This could in turn produce measurable positive environmental and socioeconomic outcomes (Wilson et al., 2006). However, transitioning from a linear model to a balanced environmental-economic closed-loop system requires deep infrastructural shifts (Ghisellini et al., 2016). Moreover, the circular model itself faces growing criticism for downplaying geographic discrepancies and thermodynamic limitations (Corvellec et al., 2022).

A substantial divide persists between overarching sustainability benchmarks and ground-level municipal realities. In rapidly developing urban environments, effective waste management remains hindered by informal recycling channels, reliance on single municipality-controlled dumpsites, and limited public investment, underscoring the vital need for stronger local governance, institutional oversight, and coordinated private-sector integration (Kabera & Nishimwe, 2019). This operational divide highlights a global blind spot: global environmental ambitions cannot be actualized without reliable regional metrics and clear baseline data (Velis, 2018).

2.4 Municipal Waste Management in the Kosovo Context

Rather than pursuing active recycling or material reuse, Kosovo's waste management system depends heavily on landfills and illegal dumpsites, leaving sustainable waste recovery largely unfulfilled (Alite et al., 2023). In the Western Balkans, the tension between institutional weakness and global policy ideals is highly visible. This regional context is highly complex, as Western Balkan countries struggle to foster circular innovation amid legacy infrastructural and political barriers (Hysa et al., 2020).

Despite strategic efforts to harmonize national environmental legislation with the European Union (EU) acquis by emphasizing integrated waste systems, reduction, and recycling, practical advancement remains limited, with performance index metrics showing unexploited potential across key recycling sectors (Rudhani et al., 2025).

As a critical and concrete case for intersecting debates, this study selected Eco-Higijena Company, established in Gjilan in 2015 as Kosovo's pioneering PPP for waste management, to explore these intersecting academic debates. The enterprise functions within a challenging local climate marked by political instability, fragile administrative capabilities, and deficient environmental regulation. These domestic constraints directly conflict with global benchmarks including the UN 2030 Agenda and the UN-Habitat Waste-Smart Cities Facility, which mandate institutional capacity, citizen engagement, and transparency as vital benchmarks for project viability.

(Casady & Peci, 2021; Koch & Krellenberg, 2018; Stafford-Smith et al., 2017). The perspective of internal governance has been overlooked in the literature, as it has only focused on external metrics of PPP performance. What is less well understood is how internal leadership of such organizations interprets governance requirements and balances global sustainability goals with local institutional frictions.

2.5 Research Gap and Synthesis

A distinct polarization has emerged from the existing literature. Optimizing frameworks are provided by research from developed economies regarding stakeholders' engagement, transitions to the circular economy, and accountability (Afful et al., 2024; Hodge & Greve, 2007). Structural failures of governance, weak implementation of regulations, and political instability are spotlighted by the evidence of the economy in transition (Casady & Peci, 2021; Roehrich et al., 2014). Global frameworks set ambitious environmental goals but their local implementation remains highly fragile. This gap was precisely addressed in this study by investigating how eco-hygiene managed governance mechanisms and operational challenges from within and how it perceived sustainability achievements. The study went beyond these descriptive summaries and contributed directly to these debates on PPP governance, institutional adaptation, and the realization of the SDGs within post-conflict societies.

2.6 Integrated Conceptual Framework

To synthesize these distinct scholarly debates, this study established an integrated conceptual framework that linked macro-level institutional theory, meso-level stakeholder dynamics, and micro-level PPP governance mechanisms. Institutional theory explains the macro-environmental forces such as regulatory weaknesses and post-conflict political uncertainty that set the limits to what a firm could achieve. Within these limitations, stakeholder theory provides the tools to assess meso-level interactions, hence focusing explicitly on how the hybrid public-private structure attempts to balance conflicting financial motives and social affordability demands. The PPP governance literature identified criteria for measuring performance at the micro-level, specifically in terms of transparency, clear differentiation of roles, and internal accountability. By integrating these three lenses, our framework asserted that micro-level internal governance successes (e.g., high leadership transparency and operational efficiency) could not spontaneously yield macro-level sustainability outcomes (e.g., advanced circular economy practices) if they were structurally stifled by macro-level institutional frictions and unregulated meso-level stakeholders' incentives.

Figure 1 summarizes the integrated conceptual framework adopted in this study, illustrating how macro-level institutional conditions and meso-level stakeholder dynamics may shape the relationship between internal PPP governance and sustainability outcomes.



Figure 1. Integrated conceptual framework linking institutional conditions, stakeholder dynamics, PPP governance, and sustainability outcomes

Note: PPP = public-private partnership.

3. Methodology

The study adopted a mixed-method and single-case methodology model, focusing on Eco-Higjiena Company, a pioneer in PPPs for waste management in Kosovo.

This single-case study model is particularly appropriate here because Eco-Higjiena Company, being the first institutional plan for PPPs in the waste sector in the region, represents a unique exploratory and revealing case. The organizational context and its investigation over time allow a deeper and more detailed analysis of the mechanisms of operational sustainability, governance, structural dynamics, and operational sustainability that in

most cases broad studies could not capture. The target population was intentionally limited to internal management and administrative staff in order to effectively assess the internal operational governance at Eco-Higijena Company in Gjilan. Since the main objectives of the research require specialized knowledge regarding the company's daily administrative protocols, board-level decision-making processes, and data of strategic compliance metrics that external stakeholders do not possess, the internal focus in this research is necessary. The key point for choosing this sample was that the 13 individuals constituted almost 100% of the strategic executive level and administrative nerve center responsible for managing municipal contracts and day-to-day infrastructure oversight. External actors such as citizens and general municipal staff were intentionally excluded, to keep the analytical focus purely on diagnosing the internal operational alignment/structure of the PPP from the perspective of the operators themselves.

3.1 Data Collection

A unified mixed methods survey in electronic form was used to collect data and evidence in the study. The online survey was distributed to board members, directors, managers, and administrative staff at Eco-Higijena Company. About 13 staff participated and responded to the survey despite the small number. This sample represents a holistic record of the company's core leadership and administrative architecture, to ensure high saturation of internal data. Quantitative and qualitative data were obtained from the structured online survey, which contained closed-ended metric questions along with open-ended questions with detailed text fields. Respondents were able to offer rich narrative context through open-ended questions; they were able to elaborate on nuanced perspectives on corporate governance challenges, and they were able to provide details on administrative complexities, without the limitations of fixed-choice responses. Municipal officials, environmental regulators, and citizens as external stakeholders were intentionally excluded from this phase of data collection. This study only aims to diagnose the internal governance of PPPs, structural alignment, and operational sustainability from the perspective of operators. The inclusion of external stakeholders falls outside the defined scope of this study though they were valuable sources of external impact assessments.

3.2 Data Analysis

Quantitative data obtained from the closed-ended survey items were processed and analysed using the Statistical Package for the Social Sciences (SPSS), version 26, to generate descriptive frequencies and distributions relating to respondents' assessments of governance and sustainability. The responses received from the online survey were analysed according to data type. Quantitative data obtained from the closed-ended survey items were processed and analysed using SPSS, version 26, to generate descriptive frequencies and distributions relating to respondents' assessments of governance and sustainability. Qualitative data obtained from the open-ended survey fields were analysed using thematic analysis to identify operational barriers, institutional perspectives, and recurring themes. The six-phase thematic analysis was used to analyze qualitative responses. Initially, all responses were read several times to become familiar with the dataset. Open coding was then used to identify meaningful text units. Similar codes were organized into larger categories, which were then reviewed and refined into overarching themes. The research team compared coding decisions and worked out disagreements through discussion until consensus was reached. Representative quotations were chosen to illustrate each theme while maintaining the participants' anonymity. Finally, qualitative findings were combined with descriptive quantitative results to improve interpretation via methodological triangulation.

3.3 Ethical Considerations

This study strictly followed social science research ethical standards in compliance with the General Data Protection Regulation (GDPR). All participants were provided with formal documentation covering the study's objectives, scope and data protocol and supplied voluntary informed consent via electronic means. Participation was entirely voluntary. Anonymity and full confidentiality were maintained throughout the research to reduce potential risks for respondents. Raw datasets are securely stored, and all findings are presented in summarised, anonymised formats to avoid personal identification.

3.4 Limitations of the Methodology

This study has several limitations that should be noted. First, the sample size was small ($n = 13$) owing to the limited number of people working in Eco-Higijena Company; in a scientific context, this was considered a limitation. Second, self-reported data might reflect institutional bias. Since all respondents held internal leadership roles, there was an inherent risk of social desirability bias or an organizational protection bias, resulting in participants attempting to over-report the effectiveness of internal governance. To aggressively mitigate this, full compliance with GDPR protocols was maintained, thus ensuring complete and untraceable anonymity to

encourage absolute candor and minimize internal administrative frictions. Focusing on only one PPP company may reduce the possibility for comparison. Furthermore, the assessment of sustainability performance relies heavily on these management-level perspectives due to the structural lack of external, objective, and environmental municipal records or audited physical accounting data (e.g., verified annual tonnages of sorted plastics) within the Gjilan region. Where available, respondents also reported quantitative operational indicators, including an estimated 89% coverage of the regional waste collection network. As these figures were derived from management-reported information and were not independently verified against audited administrative or municipal records, they should be interpreted cautiously. The study relied on retrospective perceptions of participants collected at a single point in time, rather than longitudinal observations collected over the entire period 2015–2025. As a result, interpretations of organizational change over the ten-year period reflect respondents’ memories and professional experiences, rather than repeated measurements over time. Since the findings are based on self-reported perceptions from a single organization, they should be interpreted as exploratory and not representative of all PPPs in Kosovo or other transition economies.

4. Results

This section exhibits the perspectives of Eco-Higjiena’s leadership on governance and participants’ perceived sustainability achievements during Eco-Higjiena’s operation (2015–2025). The analysis combined descriptive statistics with thematic coding of open-ended responses.

The data in Table 1 show the organizational distribution of the 13 study participants from Eco-Higjiena Company. Administrative staff form the largest respondent group at 46.2% (6 participants), followed closely by managers/directors at 38.5% (5 participants). Board members represent the smallest segment, making up the remaining 15.4% (2 participants) of the sample.

Table 1. Frequencies of participants regarding their current roles in Eco-Higjiena Company

Participants’ Current Role at Eco-Higjiena Company		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Board member	2	15.4	15.4	15.4
	Manager/Director	5	38.5	38.5	53.8
	Administrative staff	6	46.2	46.2	100.0
		13	100.0	100.0	

The findings in Table 2 indicate a highly experienced workforce, with 61.5% (8 respondents) having over 10 years of experience in waste management at Eco-Higjiena. Mid-tenure staff is evenly split, with 15.4% (2 respondents) each in the 4–6 and 7–10 years categories. Only 7.7% (1 respondent) has 1–3 years of experience, showing strong organizational retention.

Table 2. Frequencies of the surveyed participants regarding their years of experience in waste management

Years of Experience in Waste Management at Eco-Higjiena Company		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	1–3 years	1	7.7	7.7	7.7
	4–6 years	2	15.4	15.4	23.1
	7–10 years	2	15.4	15.4	38.5
	Over 10 years	8	61.5	61.5	100.0
	Total	13	100.0	100.0	

Figure 2 presents respondents’ assessments of the internal governance of Eco-Higjiena. All 13 respondents (100%) agreed or strongly agreed that decision-making processes within Eco-Higjiena are transparent, with 5 (38.5%) selecting “Agree” and 8 (61.5%) selecting “Strongly Agree”. Similarly, all 13 respondents (100%) agreed or strongly agreed that the Board and management are accountable for their decisions and actions. Perceptions of communication between the public and private partners were more mixed: 9 of 13 respondents (69.2%) agreed or strongly agreed that communication was effective, while 4 (30.8%) expressed neutral or lower levels of agreement. Regarding the clarity of roles and responsibilities within the PPP, 11 of 13 respondents (84.6%) agreed or strongly agreed, whereas 2 (15.4%) reported lower or neutral assessments. Finally, 9 of 13 respondents (69.2%) agreed or strongly agreed that governance structures promote efficiency in service delivery, while the remaining 4 (30.8%) expressed neutral or lower levels of agreement. Overall, the findings indicate strongly positive perceptions of internal transparency and accountability, although communication between PPP partners and governance-related service efficiency received comparatively more mixed assessments.

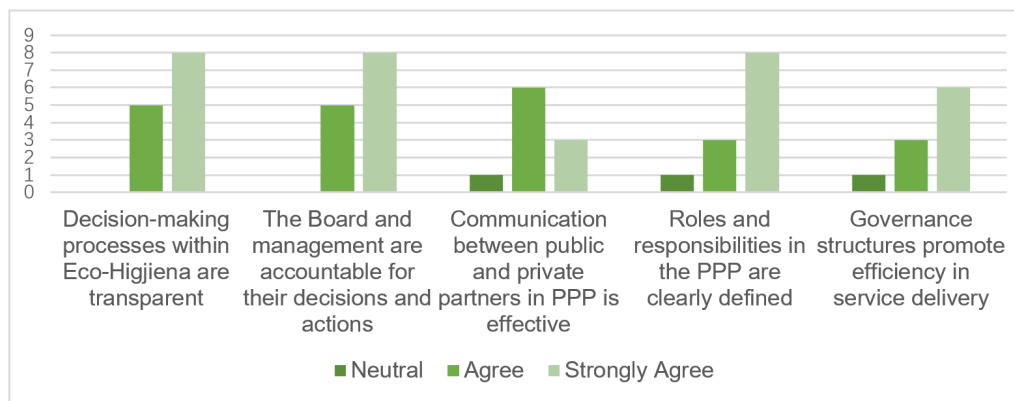


Figure 2. Surveyed participants' level of agreement with the statements

Note: PPP = public-private partnership.

Figure 3 presents respondents' assessments of Eco-Higjiena's sustainability performance. The strongest evaluation concerned the company's contribution to reducing environmental impacts, with all 13 respondents (100%) rating its performance as either "Good" (3 respondents; 23.1%) or "Excellent" (10 respondents; 76.9%). Recycling and circular-economy practices received comparatively weaker assessments: 8 respondents (61.5%) rated performance as good or excellent, while 4 (30.8%) rated it average and 1 (7.7%) rated it poor. Affordability of services was evaluated positively by 12 respondents (92.3%), comprising 3 (23.1%) rating it good and 9 (69.2%) excellent, while 1 respondent (7.7%) rated it average. All 13 respondents (100%) rated Eco-Higjiena's contribution to community well-being and quality of life as good or excellent, with 5 (38.5%) selecting "Good" and 8 (61.5%) selecting "Excellent". Regarding innovation and the use of sustainable technologies, 9 respondents (69.2%) rated performance as good or excellent, while 4 (30.8%) rated it average. Overall, respondents perceived particularly strong performance in environmental impact reduction, affordability, and community well-being, while recycling and circular-economy practices emerged as the comparatively weakest sustainability dimension.

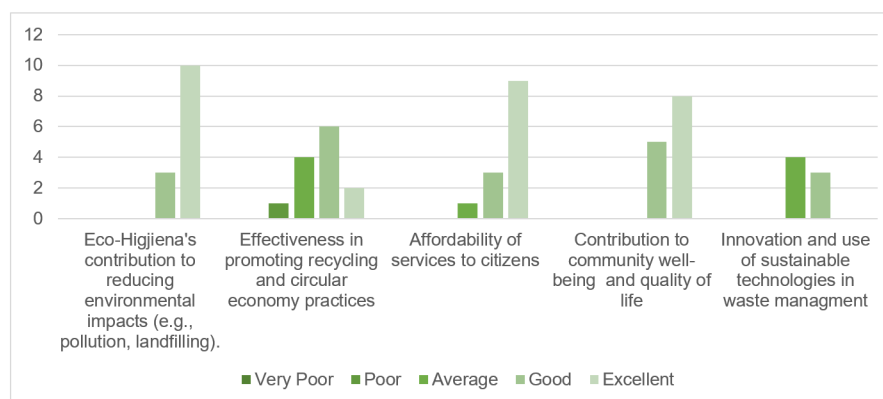


Figure 3. Surveyed participants' rating of the statements

Table 3 presents the main governance challenges identified by respondents at Eco-Higjiena. The thematic analysis groups these challenges into six broad areas: waste management and landfill issues, financial challenges, operational and infrastructural challenges, social challenges, governance and partnerships, and legal and policy challenges. The table also presents the corresponding sub-themes and representative responses from participants, providing a structured overview of the principal governance and operational difficulties experienced by the company.

Table 3. Thematic coding of governance challenges faced by Eco-Higjiena

Code	Sub-Code	Answers
Waste management & landfill issues	Landfill capacity	"The challenge... will be the issue of the landfill, which has started to have free space for a while."
	Illegal landfills	"The main challenges are illegal waste landfills..." / "Illegal waste disposal"

	Hazardous waste	“Insufficient management of hazardous waste for water, land, air, etc.”
Financial challenges	Debt collection/Non-payment	“Financial challenge—debt collection, non-payment of bills every month”/“Collection of obligations from clients”
	Service pricing	“High landfill prices, very low prices for our services”
Operational & infrastructural challenges	Municipal support	“Lack of commitment from the MUNICIPALITY”
	Lack of infrastructure	“Operational Challenge—lack of infrastructure”
	Workforce issues	“Provision of workers for waste collection”
Social challenges	Employee welfare	“Improvement of the well-being of employees, particularly working conditions and pay raise”
	Low awareness/behavior	“Low level of awareness of waste separation...”/“Low level of awareness among citizens regarding environmental protection”
	Misuse of the system	“Various misuses, illegal landfills”
Governance & partnerships	Public-private relations	“The relations between public and private partners should be harmonized at a higher level.”/“Partnership not at the right level, legal confusions.”
	Transparency & accountability	“Eco-Higjiena is working to make decision-making more transparent, roles and responsibilities clear...”
	Balancing interests	“Eco-Higjiena’s biggest challenge is balancing public and private interests...”
Legal & policy challenges	Law enforcement	“The need for stringent laws and strict enforcement against pollution.”
	Alignment with the European Union (EU) standards	“Adaptation to European waste management standards is a long-term challenge.”/“...while respecting the EU environmental standards...”

Figure 4 provides a visual synthesis of the thematic analysis of the governance challenges faced by Eco-Higjiena. The thematic coding map illustrates six interconnected areas of concern: waste management and landfills, financial challenges, operational and infrastructure challenges, social challenges, governance and partnerships, and legal and policy challenges. The figure highlights the multidimensional nature of the governance challenges identified by respondents and complements the detailed thematic evidence presented in Table 3.



Figure 4. Governance challenges faced by Eco-Higjiena: thematic coding map

Table 4 presents respondents’ perceptions of Eco-Higjiena’s sustainability achievements during the period 2015–2025. The thematic analysis identifies key areas of perceived progress, including citizen awareness and engagement, service expansion and quality, infrastructure and technology, financial stability, environmental sustainability, and client growth. These themes are presented together with corresponding sub-themes and supporting textual evidence from the participating board members, managers, directors, and administrative staff.

Table 4. Surveyed participants’ perceptions on Eco-Higjiena’s sustainability achievements (2015–2025)

Code	Sub-code	Answers
Citizen awareness & engagement	Awareness raising	“Raising awareness of citizens in environmental protection by including 89% of citizens in the waste collection network...”/“Increasing public awareness about cleanliness and environmental protection”

Service expansion & quality	Payment awareness	“Efficient performance of services, awareness of payment for services, collection”
	Community cooperation	“...more active promotion of recycling and improved cooperation with the community”
	Service coverage	“Coverage with services (%) and extension of services throughout the Gjilan Region and Morava side...”/“Increased service coverage”
	Service quality	“...increasing the quality of service for citizens”/“Areas of awareness, service improvement and service expansion”
	Service efficiency	“Efficient performance of services”/“Increased service efficiency”
Infrastructure & technology	Modernization of fleet	“Modernization of fleet and equipment...”/“Investments in more advanced trucks and containers...”
	Machinery & equipment investments	“Advanced machinery, stability and sustainability”/“Investments in machinery for waste collection and transportation”
	Sustainable technology	“...wider use of sustainable technologies”
Financial stability & obligations	Financial stability	“Investments in machinery, financial stability, and an increase in the number of clients”
	Settling obligations	“Old settled obligations to the Tax Administration, other supplier obligations, and dividends”
Environmental impact & sustainability	Reduction of illegal dumping	“Significantly reduced illegal dumping”
	Recycling initiatives	“More active promotion of recycling”/“Laid the foundations for systematic recycling in the region”
	Sustainability commitment	“Strong commitment to sustainability and continuous improvement”
Client & collection growth	Increased collection	“Increase in collection”/“Increased collection, increased active clientele”
	Client growth	“Increase in the number of clients”/“Increased active clientele”

Table 5 presents respondents’ recommendations for improving the governance and sustainability of Eco-Higjiena. The recommendations reflect the principal areas in which participants believe further action is required, including waste selection and recycling, investment in recycling facilities and technologies, and the integration of waste as an alternative energy source. These recommendations provide practical directions for addressing the governance, operational, and sustainability challenges identified in the preceding analysis.

Table 5. Surveyed participants’ recommendations for improving governance and sustainability at Eco-Higjiena Company in Gjilan

Code	Sub-Code	Answers
Waste selection & recycling	Recycling initiatives	“Let’s start with waste selection and recycling”/“Greater investment in recycling technology”
	Recycling plants & facilities	“Construction of recycling plants”
	Alternative energy	“Integration of waste as an alternative energy”
Institutional & legal frameworks	Long-term contracts	“Long-term contracts”
	European Union (EU) alignment	“Harmonization of local legislation with EU directives”
	Monitoring & reporting	“Monitoring and transparent reporting”
	Law enforcement	“Strengthening inspection and law enforcement”
Governance & transparency	Public-private partnership	“Public-private company model is the only alternative for good services”/“Regulating relations between public and private partners”
	Transparency measures	“Periodic reports of income-expenditures”/“Greater transparency”
	Community involvement	“Close cooperation with the Municipality, community involvement”
	Professionalism & accountability	“Increased professionalism”/“Building genuine partnerships”
Operational & technical improvements	Equipment & tools	“Investment in special trucks, containers”/“Advancing working tools (trucks, containers, etc.)”
	Digitalization	“Digitalization of services”
	Service quality & capacity	“Increasing investments in the quality of services, increasing operational capacities”
Financial & pricing mechanisms	Service pricing	“Increasing the price of services”
	Sustainable financial models	“Developing sustainable financial mechanisms”

Workforce development & welfare	Employee welfare Training & capacity building	“Improving the welfare of workers”/“Increasing salaries” “Various trainings would affect improvement of better governance”/“Invest in continuous training for employees”
Public awareness & education	Awareness campaigns Citizen awareness Closing illegal landfills	“Campaign and awareness, (educational), media, social networks” “Increasing citizen awareness” “Closing illegal landfills by the Municipality”
Environmental performance	Hazardous waste management Data-driven performance	“Treatment of hospital waste” “Use more data to measure environmental performance”
Strategic vision	EU model aspiration Sustainability initiatives	“Aligning with EU standards... make Eco-Higjiena a model for waste management in Kosovo and beyond” “Develop new initiatives for recycling and sustainability”

The recommendations presented in Table 5 provide an internally generated set of priorities that could inform future governance and sustainability reforms at Eco-Higjiena. They highlight the perceived need for stronger circular-economy infrastructure, regulatory and institutional support, transparency, technical investment, sustainable financial mechanisms, workforce development, public awareness, environmental performance monitoring, and closer alignment with EU standards. These recommendations should be interpreted as the perspectives of the participating board members, managers, directors, and administrative staff rather than as a comprehensive policy framework for the wider waste-management sector.

5. Discussion

The findings reveal a governance–sustainability paradox within Eco-Higjiena. Respondents reported relatively positive internal governance and substantial operational progress, particularly in service expansion, infrastructure modernization, and the reduction of illegal dumping. At the same time, persistent weaknesses were identified in recycling, hazardous waste management, financial sustainability, institutional support, and coordination between the public and private partners. This suggests that improvements in internal governance and operational capacity alone may be insufficient to generate broader sustainability outcomes when the PPP operates within a constrained institutional and regulatory environment. The fundamental framework of PPP is adversely affected by local institutional constraints. The selection of Eco-Higjiena as a sole case study serves as a guiding paradigm for broader research on the sustainability of PPPs in transition economies. As the first public-private hybrid of the waste sector in Kosovo, it accurately captures the structural frictions that occur when Western administrative models, such as the OECD Principles for PPP Governance, are transplanted into institutional environments marked by inherited post-conflict fragility. The dynamics observed here may provide analytically relevant insights for comparable PPPs in other transition economies, although such transferability should be tested empirically. These patterns are consistent with predictive models tracking solid waste trends across transition economies, which show a sharp divergence between localized volume generation and regulatory oversight (Kaza et al., 2018).

Respondents generally reported positive perceptions of Eco-Higjiena’s internal governance, particularly in relation to accountability, transparency, and clarity of roles and responsibilities. Transparency is actively practiced by board members and management in decision making, hence confirming the theoretical framework of the principles of PPP Governance. This internal health, according to an in-depth data interpretation, does not automatically translate into external partnership synergies. While internal roles are clearly defined, the external institutional environment in Kosovo suffers from political and legal uncertainty. This finding is consistent with the broader PPP literature showing that institutional weaknesses, regulatory limitations, and implementation challenges can constrain the effectiveness of otherwise well-structured PPP arrangements in developing and transition economies (Casady & Peci, 2021; Roehrich et al., 2014).

As seen in the regional contexts, Respondents reported substantial progress in short-term local infrastructural objectives, including an estimated expansion of local network coverage to 89% and modernization of the collection fleet, developments that are consistent with the objectives of SDG 11. However, like its regional counterparts, Eco-Higjiena has lagged behind in complex objectives set by circular economy, such as hazardous waste processing and regional recycling infrastructure, due to a systematic lack of macro-level financial support and regulatory enforcement by the state. These structural constraints may also limit the capacity of localized initiatives to benefit from wider resource flows and circular-economy opportunities, thereby constraining progress towards more advanced forms of waste recovery and resource efficiency (Geng et al., 2019). This finding provides additional empirical nuance to the PPP governance literature by highlighting the interaction between internal governance and the wider institutional environment. In the case of Eco-Higjiena, the evidence suggests that institutional and relational frictions may be at least as important as internal managerial factors in shaping the long-term sustainability of PPP arrangements (Casady & Peci, 2021).

On the one hand, reduction in illegal dumping and successful modernization of facilities together show that the PPP model for localized and short-term infrastructural objectives is highly effective. This directly advances the UN SDG 11 for sustainable cities. The failure to advance hazardous waste management and recycling, on the other hand, is not simply an operational oversight but a structural and economic symptom.

Insufficient municipal support, financial insecurity, and debt collection problems were highlighted by respondents in the study as significant obstacles. The findings suggest that Eco-Higjiena continues to operate largely within a linear waste-management model because the broader market and institutional environment in Kosovo provides limited incentives for circular waste recovery and resource reuse. Without a macro-level regulatory framework and guaranteed financial mechanisms, PPPs will inevitably prioritize the survival of basic services over advanced environmental sustainability.

The study spotlighted the hidden structural barriers that hindered the effectiveness of PPPs from the inside out, hence capturing an internal perspective of the company rather than the external perceptions of citizens. This internal perspective revealed a different root cause, such as systemic dependency, while citizen-focused studies typically attributed poor municipal waste management to public apathy or company negligence. The firm's financial weakness, which stemmed from poor municipal debt collection and implementation, demonstrated that technical and infrastructural improvements alone were insufficient. Long-term success of PPPs necessitates structural changes. The case of Eco-Higjiena added new nuance to the existing literature by demonstrating the dual nature of hybrid governance in transitional countries. PPPs are highly effective mechanisms for quickly mobilizing capital and equipment, but their long-term transformative capacity is inextricably linked to the maturity of the host country's public institutions.

6. Conclusions

The study examined respondents' retrospective perceptions of governance and sustainability developments during Eco-Higjiena's operation from 2015 to 2025. The data and findings reflected in the results section clearly show that PPPs could improve the transition economy, such as the circular economy and municipal services, particularly by expanding and advancing services for citizens, reducing illegal dumping of waste in public spaces, and increasing community awareness.

Respondents reported improvements in equipment and infrastructure during Eco-Higjiena's operation and generally perceived the company as having achieved greater operational and financial stability. Nevertheless, they also identified continuing challenges relating to institutional implementation, relations between the public and private partners, financial constraints, hazardous waste management, and recycling. Hazardous waste management and recycling remain underdeveloped, hence posing structural limitations in Kosovo's waste sector.

The findings should nevertheless be interpreted in light of the study's limitations, particularly its single-case design, small internal sample, reliance on self-reported and retrospective perceptions, and absence of external stakeholder perspectives. Future research should extend the analysis to multiple PPP cases and incorporate the perspectives of municipal authorities, citizens, environmental regulators, and other relevant stakeholders. Longitudinal research using administrative and independently verified performance data would also be valuable. In particular, future studies could incorporate objective environmental and operational indicators, including recycling rates, waste tonnages, landfill diversion rates, service coverage, and financial performance, to assess more comprehensively the relationship between governance arrangements and sustainability outcomes.

Author Contributions

Conceptualization, Z.T. and I.M.; methodology, Z.T.; software, S.G.; validation, Z.T., S.G., and I.M.; formal analysis, S.G.; investigation, Z.T.; resources, Z.T.; data curation, Z.T.; writing—original draft preparation, Z.T.; writing—review and editing, S.G.; visualization, Z.T.; supervision, C.M.; project administration, C.M. and I.M. All authors have read and agreed to the published version of the manuscript.

Ethical Approval

Ethical approval was waived by the University Ethics Committee under the institutional guidelines, given that only anonymised non-sensitive human survey data were collected. The research was filed for documentation (Application ID: FEMA-2026-00538), and all data handling complied with the GDPR.

Data Availability

The data used to support the research findings are available from the corresponding author upon request.

Conflicts of Interest

The authors declare no conflicts of interest.

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